Question # 1 of 10 (Start time: 07:51:07 PM) Total Marks: 1
A sum of Rs. 6,000 paid as wages for erecting a machine should be debited to:
Select correct option:

Cash Account
Machinery Account
Wages Account
Factory expense Account

Question # 2 of 10 (Start time: 07:51:45 PM) Total Marks: 1
When a business purchases goods from ABC & Co. and promises to pay the amount at certain future time period, we will call ABC & Co. as:
Select correct option:

Debtors of the business
Creditors of the business
Assets of the business
Equity of the business

Question # 3 of 10 (Start time: 07:52:49 PM) Total Marks: 1
ABC co. has a capital of Rs. 100,000, Long Term Liabilities Rs. 50,000, net profit during the year Rs. 15,000 and the amount of total liabilities is Rs 175,000. What will be the amount of Current Liabilities?
Select correct option:

Rs. 20,000
Rs. 150,000
Rs. 10,000
Rs. 25,000

Format of Balance Sheet (Account Form)

Name of the Entity Balance Sheet As At-------				
Liabilities		**Amount Rs.**	**Assets**	**Amount Rs.**
Capital	100,000		Fixes Assets	75,000
Add Net Profit	15,000	115,000	Long Term Assets	20,000
Long Term Liabilities		50,000	Current assets	80,000
Current liabilities		10,000		
Total		175,000	Total	175,000

© Copyright Virtual University of Pakistan

Question # 5 of 10 (Start time: 07:54:50 PM) Total Marks: 1
In which of the following Gross Profit is calculated?
Select correct option:

Balance Sheet
Trading Account
Appropriation Account
Receipt and Payment Account

Question # 6 of 10 (Start time: 07:55:20 PM) Total Marks: 1
Which one of the following will result in increase in revenues?
Select correct option:

Purchased fixed asset
Received discount
Payment to creditors
Return of goods, sold on credit

Question # 7 of 10 (Start time: 07:55:43 PM) Total Marks: 1
Which of the following is/are the example/s of Intangible Asset?
Select correct option:

Copy rights
Good will
Patent rights
All of the given options

Question # 8 of 10 (Start time: 07:55:58 PM) Total Marks: 1
Franchise rights, goodwill and patents are the examples of:
Select correct option:

Liquid assets
Tangible assets
Intangible assets
Current assets

Question # 10 of 10 (Start time: 07:57:22 PM) Total Marks: 1
Net profit = Gross profit - _____
Select correct option:

Operating Expenses
Product Cost

www.vuaskari.com

Deferred Expenses
Direct Cost

Question # 9 of 10 (Start time: 07:56:12 PM) Total Marks: 1
If cost of sales is Rs. 95,000, income from sales Rs. 200,000 and operating expenses Rs. 100,000. What will gross profit?
Select correct option:

Rs. 5,000
Rs. 95,000
Rs. 1, 00,000
Rs.1, 05,000

Question # 4 of 10 (Start time: 07:53:30 PM) Total Marks: 1
If cost of sales is Rs. 60,000, income from sales is Rs. 95,000 and operating expenses Rs. 25,000. Calculate net profit.
Select correct option:

Rs. 10,000
Rs. 35,000
Rs. 55,000
Rs. 60,000

Question # 1 of 10 (Start time: 01:28:34 PM) Total Marks: 1
What does single entry accounting mean?
Select correct option:

It means to record debit only
It means to record one side of entry only
It means to record cash only
It means to record credit only

Question # 2 of 10 (Start time: 01:29:11 PM) Total Marks: 1
When income is reduced or decreased, that amount is recorded on:
Select correct option:

Right or debit side of the account
Left or debit side of the account
Left or credit side of the account
Right or credit side of the account

Question # 3 of 10 (Start time: 01:29:50 PM) Total Marks: 1
What will be debited, if business sold goods for Rs.10, 000 on credit?

www.vuaskari.com

Select correct option:

Cash account
Sales account
Accounts receivable account
Purchases account

Question # 4 of 10 (Start time: 01:30:16 PM) Total Marks: 1
_____ is the art of recording monetary transactions in the books of Accounts in a proper manner:
Select correct option:

Accounting
Book Keeping
Posting
Vouching

Question # 5 of 10 (Start time: 01:31:19 PM) Total Marks: 1
A Balance Sheet discloses the financial position of a firm:
Select correct option:

For a certain given period
At a particular point of time
After the fixed date
None of the given options

Question # 6 of 10 (Start time: 01:31:50 PM) Total Marks: 1
Which of the following is NOT correct?
Select correct option:

Decrease in Assets will be credit
Decrease in Liabilities will be debit
Decrease in Expenses will be credit
Decrease in Revenue will be credit

Question # 7 of 10 (Start time: 01:32:18 PM) Total Marks: 1
ABC & Co. purchased a typewriter for Rs. 5,000 and paid by cheque. Which of the following accounts would be affected from this transaction? I) Assets II) Liabilities III) Expenses IV) Revenues
Select correct option:

I and IV
I and II
II and III
I only

www.vuaskari.com

Question # 8 of 10 (Start time: 01:32:51 PM) Total Marks: 1
ABC co. has a capital of Rs. 100,000, Long Term Liabilities Rs. 50,000, net profit during the year Rs. 15,000 and the amount of total liabilities is Rs 175,000. What will be the amount of Current Liabilities?
Select correct option:

Rs. 20,000
Rs. 150,000
Rs. 10,000
Rs. 25,000

Format of Balance Sheet (Account Form)

Name of the Entity Balance Sheet As At-------				
Liabilities		**Amount Rs.**	**Assets**	**Amount Rs.**
Capital	100,000		Fixes Assets	75,000
Add Net Profit	15,000	115,000	Long Term Assets	20,000
Long Term Liabilities		50,000	Current assets	80,000
Current liabilities		10,000		
Total		175,000	Total	175,000

© Copyright Virtual University of Pakistan

Question # 9 of 10 (Start time: 01:34:13 PM) Total Marks: 1
A book that keeps separate record for each account is known as:
Select correct option:

Trial Balance
Voucher
General Journal
General Ledger

Question # 10 of 10 (Start time: 01:34:32 PM) Total Marks: 1
Partnership means a lawful business owned by at least:
Select correct option:

Two or more persons
Five or more persons
Seven or more persons
Nine or more persons

Question # 1 of 10 (Start time: 12:31:37 PM) Total Marks: 1
If a business purchases machinery for Rs. 50,000 on 31st January 2008 having life for 10 years, this expense will be realized_____ under the concept of accrual accounting.
Select correct option:

Only for the year 2008
Only for the last day of 10th year
Over 10 years
Nothing can be said about it

Question # 2 of 10 (Start time: 12:33:09 PM) Total Marks: 1
Select the most suitable equation which properly represents the derivation of fundamental Accounting Equation.
Select correct option:

Assets = Owner's Equity
Assets + Liabilities = Owner's Equity
Cash = Assets
Assets – Liabilities = Owner's Equity

Question # 3 of 10 (Start time: 12:33:37 PM) Total Marks: 1
Consider the following data: Particulars Rs. Assets 99,500 Owner's equity 50,500 Liabilities ?
Select correct option:

Rs. 49,000
Rs. 55,000
Rs. 125,000
Rs. 115,700
(99500-50500=49000)

Question # 4 of 10 (Start time: 12:34:31 PM) Total Marks: 1
ABC & Co. made its monthly office rent payment. Which of the following accounts would be affected from this transaction? I) Assets II) Liabilities III) Expenses IV) Revenues
Select correct option:

I and IV
I and II
II and III
I and III

Question # 5 of 10 (Start time: 12:35:24 PM) Total Marks: 1
Find out the missing value of an Accounting Equation with the help of given data: Total Assets Rs.

www.vuaskari.com

34,500 Accounts payable Rs. 1, 000 Other liabilities Rs. 11,500 Owner's equity ?
Select correct option:

Rs. 22,000
Rs.24, 000
Rs. 45,000
Rs. 46,000
(34500-1000-11500=22000)

Question # 6 of 10 (Start time: 12:36:13 PM) Total Marks: 1
_____ is the art of recording, classifying and summarizing the transactions and events of a business and interpreting the results thereof.
Select correct option:

Book-keeping
Accounting
Management
Auditing

Question # 7 of 10 (Start time: 12:37:11 PM) Total Marks: 1
A sum of Rs. 8,000 paid as wages to repair the office furniture should be debited to:
Select correct option:

Repair Account
Furniture Account
Cash Account
Office expense Account

Question # 8 of 10 (Start time: 12:37:49 PM) Total Marks: 1
If Total Assets of the business worth Rs. 200,000, Current Assets Rs. 100,000 and working capital of the business has the value of Rs. 25,000. What will be the amount of Current Liabilities of the business?
Select correct option:

Rs. 25,000
Rs. 125,000
Rs. 75,000
Rs. 100,000
(100000 – 25000 = 75000)

Question # 9 of 10 (Start time: 12:38:46 PM) Total Marks: 1
What should be credited, if rent paid in cash?
Select correct option:

www.vuaskari.com

Landlord's account
Rent account
Cash account
Accounts receivable account

Question # 10 of 10 (Start time: 12:39:25 PM) Total Marks: 1
At the end of accounting period a list of all ledger balances is prepared. This list is called _____.
Select correct option:

Journal
Ledger
Cash Book
Trial Balance

Question # 1 of 10 (Start time: 05:44:48 PM) Total Marks: 1
Normally single entry book keeping is followed by the:
Select correct option:

Small businesses only
Governments only
Large scale businesses only
Both Small businesses and Governments

Question # 2 of 10 (Start time: 05:46:05 PM) Total Marks: 1
If cost of sales is Rs. 90,000, income from sales Rs. 200,000 and operating expenses Rs. 100,000. What will be net result?
Select correct option:

Rs. 5,000 Losses
Rs.10, 000 Profits
Rs 1, 95,000 Profits
Rs 1, 95,000 Losses
(200000-90000-100000 = 10000 profit)

Question # 3 of 10 (Start time: 05:46:56 PM) Total Marks: 1
Following information is available relating to a manufacturing concern: Cost of Goods Sold Rs. 245,000 Purchases Rs. 250,000 Freight Inward Rs. 5,000 Closing Stock Rs. 25,000 What will be the amount of Opening Stock?
Select correct option:

Rs. 15,000
Rs. 10,000

www.vuaskari.com

Rs. 25,000
Rs. 20,000

COGS = Opening stock + Net purchases - Closing stock
245000 = Opening stock + (250000 + 5000) – 25000
245000 = Opening stock + 255000 – 25000
245000 = Opening stock + 230000
Opening stock = 245000 – 230000 = 15000

Question # 4 of 10 (Start time: 05:48:16 PM) Total Marks: 1
Find out the missing value of an Accounting Equation with the help of given data: Bank Rs. 22,500 Other assets Rs. 1,000 Creditors Rs. 8, 385 Other liabilities Rs. 9,000 Owner's equity ?
Select correct option:

Rs. 6,115
Rs. 31,885
Rs. 17,385
Rs. 14,115
Assets = Liabilities + Owner's equity
22500 + 1000 = 8385 + 9000 + Owner's equity
23500 = 17385 + Owner's equity
Owner's equity = 23500 – 17385 = 6115

Question # 5 of 10 (Start time: 05:49:23 PM) Total Marks: 1
Which of the following is NOT correct?
Select correct option:

Decrease in Assets will be credit
Decrease in Liabilities will be debit
Decrease in Expenses will be debit
Decrease in Revenue will be debit

Question # 6 of 10 (Start time: 05:50:01 PM) Total Marks: 1
Which of the following businesses have unlimited liability? I) Sole Proprietorship II) Partnership III) Joint Stock Company
Select correct option:

I and III
II and III
I and II
I, II, and III

www.vuaskari.com

Question # 7 of 10 (Start time: 05:50:36 PM) Total Marks: 1
Consider the following data: Particulars Rs. Assets 99,500 Owner's equity 50,500 Liabilities ?
Select correct option:

Rs. 49,000
Rs. 55,000
Rs. 125,000
Rs. 115,700

Question # 8 of 10 (Start time: 05:51:27 PM) Total Marks: 1
Which one of the following is NOT a feature of sole proprietorship business.
Select correct option:

Easy Formation
Easy Dissolution
Unlimited Liability
Separate Legal Entity

Question # 9 of 10 (Start time: 05:51:43 PM) Total Marks: 1
Goods returned by Mr. B amount to Rs. 4,000. The entry in the books will be:
Select correct option:

Mr. B is Debit Sales Returns is Credit
Sales Returns is Debit Mr. B is Credit
Mr. B is Debit Accounts Receivable Credit
Purchases Return Debit Mr. B is Credit

Question # 10 of 10 (Start time: 05:52:20 PM) Total Marks: 1
The first step in the posting process is:
Select correct option:

Recording the ledger account number in the journal
Recording the date in the ledger account
Recording the journal page number in the ledger account
Recording the explanation in journal

Question # 1 of 10 (Start time: 05:54:38 PM) Total Marks: 1
What will be debited, if business sold goods for Rs.10, 000 on credit?
Select correct option:

Cash account
Sales account

www.vuaskari.com

Accounts receivable account
Purchases account

Question # 2 of 10 (Start time: 05:54:58 PM) Total Marks: 1
If a business purchases machinery for Rs. 50,000 on 31st January 2008 having life for 10 years, this expense will be realized_____ under the concept of accrual accounting.
Select correct option:

Only for the year 2008
Only for the last day of 10th year
Over 10 years
Nothing can be said about it

Question # 3 of 10 (Start time: 05:55:50 PM) Total Marks: 1
Which of the following is fiscal Year of Government of Pakistan?
Select correct option:

1st January to 31st December
1st June to 31st May
1st July to 30th June
1st October to 30th September

Question # 4 of 10 (Start time: 05:56:22 PM) Total Marks: 1
A sum of Rs. 8,000 paid as wages to repair the office furniture should be debited to:
Select correct option:

Repair Account
Furniture Account
Cash Account
Office expense Account

Question # 5 of 10 (Start time: 05:57:29 PM) Total Marks: 1
Which of the following particular/s is/are included in payment voucher?
Select correct option:

Name of organization
Cash payment
Date
All of the given options

Question # 6 of 10 (Start time: 05:57:48 PM) Total Marks: 1
An amount of Rs. 8000 paid as wages for installation of a Machine should be debited to:

www.vuaskari.com

Select correct option:

Wages Account
Cash Account
Machinery Account
Salaries Account

Question # 7 of 10 (Start time: 05:58:31 PM) Total Marks: 1
Which of the following account summarizes the profitability of business for a specific accounting period?
Select correct option:

Profit & Loss account
Cash flow statement
Receipt & Payment account
Balance Sheet

Question # 8 of 10 (Start time: 05:59:03 PM) Total Marks: 1
While making Profit & Loss account, Excess of expenses over income in a specified accounting period is called:
Select correct option:

Profit
Loss
Surplus
Deficit

Question # 9 of 10 (Start time: 05:59:56 PM) Total Marks: 1
Outsider's claim against the assets of the business is called:
Select correct option:

Capital
Liability
Expense
Income

Question # 10 of 10 (Start time: 06:01:20 PM) Total Marks: 1
Which of the following are recorded in Cash Book?
Select correct option:

Receipts and payments
Profits and losses

www.vuaskari.com

Assets and liabilities
Capital and Expenditures

Question # 1 of 10 (Start time: 06:02:57 PM) Total Marks: 1
Which of the following item is found in a Journal entry? (1) Date of each transaction (2) Rupee amount of each debit and credit (3) Explanation of each transaction
Select correct option:

1 only
1 & 2 only
2 & 3 only
1, 2 & 3

Question # 2 of 10 (Start time: 06:03:29 PM) Total Marks: 1
_____ is NOT one of the legal forms of business?
Select correct option:

Partnership
Corporation
Joint Tenancy
Sole Proprietorship

Question # 3 of 10 (Start time: 06:03:41 PM) Total Marks: 1
Which of the following Organization converts raw material into finished goods?
Select correct option:

Trading concern
Manufacturing concern
Merchandising concern
Service concern

Question # 4 of 10 (Start time: 06:03:52 PM) Total Marks: 1
Which of the following shows company's negative working capital?
Select correct option:

Current Asset > Current Liability
Current Asset < Current Liability
Current Asset = Current Liability
None of the given options

Question # 5 of 10 (Start time: 06:04:09 PM) Total Marks: 1
What will be debited, if business purchased Furniture on cash?

www.vuaskari.com

Select correct option:

Furniture account
Cash account
Business account
Bank account

Question # 6 of 10 (Start time: 06:04:21 PM) Total Marks: 1
The main purpose of _____ is to ascertain true result of the business operation during particular period of time.
Select correct option:

Cost Accounting
Financial Accounting
Managerial Accounting
Tax Accounting

Question # 7 of 10 (Start time: 06:05:14 PM) Total Marks: 1
What should be debited, if Sales made to Mahmood for cash?
Select correct option:

Cash account
Mahood account
Sales account
Purchases account

Question # 8 of 10 (Start time: 06:05:26 PM) Total Marks: 1
Which of the following is NOT correct?
Select correct option:

Decrease in Assets will be credit
Decrease in Liabilities will be debit
Decrease in Expenses will be credit
Decrease in Revenue will be credit

Question # 9 of 10 (Start time: 06:05:44 PM) Total Marks: 1
What will be debited, if business bought goods on credit from Mr. Ali?
Select correct option:

Purchases account
Mr. Ali account
Cash account
Sales account

www.vuaskari.com

Question # 10 of 10 (Start time: 06:06:00 PM) Total Marks: 1
What does single entry accounting mean?
Select correct option:

It means to record debit only
It means to record one side of entry only
It means to record cash only
It means to record credit only

Question # 1 of 10 (Start time: 06:06:52 PM) Total Marks: 1
Franchise rights, goodwill and patents are the examples of:
Select correct option:

Liquid assets
Tangible assets
Intangible assets
Current assets

Question # 2 of 10 (Start time: 06:07:23 PM) Total Marks: 1
An amount of Rs. 8000 paid as wages for installation of a Machine should be debited to:
Select correct option:

Wages Account
Cash Account
Machinery Account
Salaries Account

Question # 3 of 10 (Start time: 06:07:40 PM) Total Marks: 1
Which of the following is the first book to record a transaction?
Select correct option:

Trial Balance
Journal
Trial Balance
Balance Sheet

Question # 4 of 10 (Start time: 06:08:17 PM) Total Marks: 1
The process of transferring journal entry information to the ledger is called:
Select correct option:

Journalizing

www.vuaskari.com

Posting
Balancing
Analyzing

Question # 5 of 10 (Start time: 06:08:32 PM) Total Marks: 1
In a manufacturing concern the amount of opening stock is Rs. 15000, its purchases during the year are Rs. 250,000, Freight Inward Rs, 5,000 and closing stock is Rs. 25,000. What will be the amount of Cost of Goods sold?
Select correct option:

Rs. 250,000
Rs. 215,000
Rs. 240,000
Rs. 245,000
(15000+250000+5000-25000 = 245000)

Question # 6 of 10 (Start time: 06:09:41 PM) Total Marks: 1
Which of the following statements is also called as position statement or a statement of condition?
Select correct option:

Income Statement
Cost of Goods sold
Statement of owner's equity
Balance Sheet

Question # 7 of 10 (Start time: 06:10:50 PM) Total Marks: 1
Which of the following contents are included in the Cost of goods sold?
Select correct option:

Opening stock
Purchases
Freight in
All of the given options

Question # 8 of 10 (Start time: 06:11:05 PM) Total Marks: 1
Which of the following is used to determine the cost of goods sold?
Select correct option:

Beginning inventory + Purchases – Work in Process
Beginning inventory + Purchases - Sales
Beginning inventory + Purchases - Ending inventory
Ending inventory + Purchases - Beginning Inventory

www.vuaskari.com

Question # 9 of 10 (Start time: 06:12:24 PM) Total Marks: 1
Select the most suitable equation which properly represents the derivation of fundamental Accounting Equation.
Select correct option:

Assets = Owner's Equity
Assets + Liabilities = Owner's Equity
Cash = Assets
Assets – Liabilities = Owner's Equity

Question # 10 of 10 (Start time: 06:13:28 PM) Total Marks: 1
Which one of the following is INCORRECT about closing Stock?
Select correct option:

It is added into current assets
It is deducted from Material available for use
It becomes opening stock of next year
It reduces the resources of business

Question # 1 of 10 (Start time: 06:15:26 PM) Total Marks: 1
Which of the following expenses are called financial expenses?
Select correct option:

Payment of rent & Salary expense
Markup on loan& Bank Charges
Interest & advertisement expense
Wages and Depreciation expense
(page 175) Financial expenses are the interest paid on bank loan & charges deducted by bank on entity's bank accounts. These are shown separately in the Profit and Loss Account. These include:
o Interest on loan
o Bank charges

Question # 2 of 10 (Start time: 06:16:38 PM) Total Marks: 1
Net Profit = Income - _____
Select correct option:

Liabilities
Assets
Expenses
Capital

www.vuaskari.com

Question # 3 of 10 (Start time: 06:16:54 PM) Total Marks: 1
Following information is available relating to a manufacturing concern: Cost of Goods Sold Rs. 245,000 Purchases Rs. 250,000 Freight Inward Rs. 5,000 Closing Stock Rs. 25,000 What will be the amount of Opening Stock?
Select correct option:

Rs. 15,000
Rs. 10,000
Rs. 25,000
Rs. 20,000

Question # 4 of 10 (Start time: 06:18:24 PM) Total Marks: 1
What will be debited, If Mr. "A" started business with Rs. 2, 00,000.
Select correct option:

Capital account
Cash account
Mr. A's account
Business account

Question # 5 of 10 (Start time: 06:18:57 PM) Total Marks: 1
Net profit = Gross profit - _____
Select correct option:

Operating Expenses
Product Cost
Deferred Expenses
Direct Cost

Question # 6 of 10 (Start time: 06:19:44 PM) Total Marks: 1
What will be debited, if business bought goods on credit from Mr. Ali?
Select correct option:

Purchases account
Mr. Ali account
Cash account
Sales account

Question # 7 of 10 (Start time: 06:20:05 PM) Total Marks: 1
Find out the missing value of an Accounting Equation with the help of given data: Total Assets Rs. 34,500 Accounts payable Rs. 1, 000 Other liabilities Rs. 11,500 Owner's equity ?
Select correct option:

www.vuaskari.com

Rs. 22,000
Rs. 24, 000
Rs. 45,000
Rs. 46,000

Question # 8 of 10 (Start time: 06:20:59 PM) Total Marks: 1
Any expense that becomes a source of income generation for a long time period is called _____
Select correct option:

Capital Expense
Revenue Expense
Revenue Receipt
Capital Receipt

Question # 9 of 10 (Start time: 06:21:15 PM) Total Marks: 1
Carriage outward and advertising expenses are known as:
Select correct option:

Administrative Expenses
Financial Expenses
Selling Expenses
Cost of Goods Sold

Question # 10 of 10 (Start time: 06:22:11 PM) Total Marks: 1
What is the next step to Journalizing in Accounting cycle?
Select correct option:

Recording
Posting
Balancing
Analyzing

www.vuaskari.com